No. 18-0918

IN THE

Supreme Court of the United States

OCTOBER TERM, 2018

IN RE BACKSTREETS PLOWING, INC.,
DEBTOR,

STEVEN VIN SANT, CHAPTER 7 TRUSTEE,
PETITIONER

V.

MILTON WEINBERG,
RESPONDENT.

ON WRIT OF CERTIORARI TO THE

UNITED STATES COURT OF APPEALS

FOR THE THIRTEENTH CIRCUIT

BRIEF FOR PETITIONER

Team Number P. 23

Counsel for Petitioner

QUESTIONS PRESENTED

1. Whether 11 U.S.C. § 362(a)(3) is violated when a secured creditor retains possession of collateral repossessed from the debtor prior to the filing of the petition?
2. Whether 11 U.S.C. § 503(b), which authorizes the bankruptcy court to reimburse creditors for administrative expenses incurred "in making a substantial contribution in a case under chapter 9 or 11" of the Bankruptcy Code, permits a court to reimburse a creditor for a substantial contribution in a case under chapter 7 of the Code.

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OPINION OF THE COURT BELOW

In a case under Chapter 7 of the Bankruptcy Code, the bankruptcy judge for the District of Moot entered an order granting Respondent's motion for substantial contribution administrative expenses and another order denying that Respondent's actions violated the automatic stay. R. at 6, 8. The Petitioner, Steven Vin Sant, timely appealed the bankruptcy court's orders. R. at 8–9. With consent of the parties, the two appeals were consolidated before the Bankruptcy Appellate Panel, which affirmed both orders. R. at 9. Vin Saint appealed to the United States Courts of Appeals for the Thirteenth Circuit, but both orders were again affirmed. The Court of Appeals' opinion is reproduced as the record in this appeal. R. at 16, 21. The Supreme Court of the United States then granted Vin Sant's petition for a writ of certiorari.

STATEMENT OF JURISDICTION

The formal statement of jurisdiction is waived pursuant to Competition Rule VIII.

STATUTORY PROVISIONS

The relevant statutory provisions involved in this case are listed below and are reproduced in Appendices A through J.

11 U.S.C. § 102(3)

11 U.S.C. § 105(a)

11 U.S.C. § 362(a)(3)

11 U.S.C. § 363(e)

11 U.S.C. § 503(b)

11 U.S.C. § 507(a)

11 U.S.C. § 541

11 U.S.C. § 542

11 U.S.C. § 726(a)

11 U.S.C. § 7001(1)

STATEMENT OF THE CASE

Backstreets Plowing, Inc. ("Debtor") and its sole shareholder Christopher Clemons ("Clemons") required new snow plow trucks to profitably run a seasonal snow plow business in the City of Badlands ("The City"). Clemons' bowling partner Milton Weinberg ("Respondent") loaned Clemons the money to purchase the trucks. Respondent was granted a purchase money security interest in the trucks to secure their repayment. R. at 4. Clemons personally guaranteed the loan. R. at 4. Clemons and Respondent had a personal disagreement, and thereafter Clemons stopped making payments on the loan. In April 2016, Respondent sued Debtor for defaulting on the notice, and Clemons on his personal guarantee of the loan. R. at 5. In October 2016, the State of Moot Circuit Court granted Respondent a default judgement against the Debtor and Clemons, jointly and severally, for $450,000 plus interest and fees. R. at 5. Respondent repossessed the trucks during the winter season in late January 2017, where they remained in a warehouse unused despite an unusually cold winter season. R. at 6.

Without the snowplows, the Debtor was unable to fulfill the remainder of a plowing contract with Badlands. R. at 6. As such, in January 2017, the Debtor filed a chapter 11 proceeding. R. at 6. The Debtor's attorneys sent a letter demanding that the snow plow trucks be returned so that the business might continue to fulfill its duties to the City. R. at 6. Respondents refused to turn over the trucks. R. at 6. Subsequently, the City informed the Debtor that he would lose his contract for the following year. R. at 7. In February 2017 the Debtor filed a motion asking for a determination about whether Respondent's possession of the snow plow trucks constituted a violation of the automatic stay under § 362(a)(3). R. at 6. The court found against the Petitioner, who soon filed an appeal. R. at 6. Without the trucks, Debtor could not operate his business as a going concern, and converted his case to a Chapter 7. R. at 7. On April 13, 2017 the

trustee ("Petitioner") was appointed. R. at 5. In September 2017, one of Debtor's competitors offered to purchase the trucks if the trustee could obtain them from Respondent. R. at 8. The trustee attempted to negotiate with Respondent for the trucks. R at 8. However, Respondent again refused to turn them over to the bankruptcy estate. R. at 8.

Meanwhile, shortly after conversion to a Chapter 7 case, Respondent sought to enforce the State of Moot Circuit Court's judgement on the personal guarantee against Clemons. R. at 7. Without permission from the bankruptcy judge, Respondent hired a collection law firm to examine Clemons' credit. R. at 7. The law firm discovered that Clemons made multiple transfers of approximately $100,000 in cash directly to a bank account in the name of Clemons' daughter. R. at 7. Respondent provided the unauthorized credit examination and sufficient evidence to avoid those transfers to Clemon's daughter as fraudulent transfers. R. at 7. Petitioner started an adversary proceeding against Clemons' daughter, which later settled with a payment of $75,000 to the Debtor's estate. R. at 7. Without prior court approval, Respondent's investigation of Clemons costed him $25,000 in legal fees. R. at 7. Respondent filed a motion to recoup those fees as substantial contribution administrative expenses pursuant to § 503(b). R. at 7. Petitioner opposed the motion, but the bankruptcy judge granted Respondent's request. R. at 8.

Petitioner appealed the bankruptcy court's orders to the Bankruptcy Appellate Panel, which affirmed both orders. R. at 8-9. Petitioner then appealed to the Thirteenth Circuit. R. at 2. In a split opinion, the circuit court uphold that holding possession of collateral does not violate the automatic stay, and that § 503(b) of the Bankruptcy Code implicitly authorizes judges to grant substantial contribution claims in chapter 7 cases. R. at 21. Petitioner now appeals to the Supreme Court of the United States in a final effort to protect the bankruptcy estate, and the integrity of the Bankruptcy Code

SUMMARY OF THE ARGUMENT

1. The plain language of the automatic stay under § 362(a) forbids any act to exercise control over the estate. Acts to exercise dominion and control are construed broadly and include actions that began prior to the filing of the petition. In addition, the language of 542(a) is mandatory and unambiguous. The word "shall" in § 542(a) requires the lien holder to turn over property of the estate. Therefore, retaining possession of property of the estate that was seized before the petitioner was filed, in violation of this duty, can be an "act to exercise control" under § 362(a)(3) to facilitate the debtor's fresh start.

2. The text of the Bankruptcy Code outlines a procedure under Section 542(a) and Section 362. The Thirteenth Circuit does not follow this procedure. The Respondent should have properly filed for affirmative relief in the form of relief from stay or adequate protection –it was not the Petitioner's burden to file first. Adequate Protection is not automatic - Respondent was required to request adequate protection if he wanted it. The "explicit limitations" in Section 542 of good faith transfers, insurance transfers, and inconsequential value are not applicable to the case at bar. The secured party is better positioned to request for adequate protection to meet their burden of production. The Thirteenth Circuit Would Place the Burden on the Trustee File a Turnover Proceeding, which Reduces the going Concern Value. Petitioner's plain reading best serves the Bankruptcy Code's goal of marshalling the assets. Mere promises to payments can be distinguished from possessing tangible personal property**.**

3. A natural reading of § 503(b)(3)(D) demonstrates that substantial contribution claims are restricted to cases under chapter 9 or 11. Section 503(b)(3)(D) reads: "[t]here shall be allowed administrative expenses… including… the actual, necessary expenses…incurred by a creditor… in making a substantial contribution in a case under chapter 9 or 11 of this title." A

substantial contribution expense in a chapter 9 or 11 is authorized by the Code; a substantial contribution expense in a case under chapter 7 is not authorized by the Code; thus, a substantial contribution expense in a case under chapter 7 cannot be allowed.

4. Basic cannons of statutory interpretation confirm that substantial contribution claims are limited to cases under chapter 9 and 11. By expressing that substantial contribution expenses are allowable "in a case under chapter 9 or 11," Congress excluded the other four chapters that were unmentioned. Congress knew that by mentioning chapters 9 and 11, courts would understand that in other chapters, such as chapter 7, substantial contribution expenses could not be reimbursed as priority claims. The natural reading of § 503(b)(3)(D) is the only one that gives meaning to the whole text. Had Congress intended to allow substantial contribution claims in all types of cases, Congress would not have specified particular chapters in § 503(b)(3)(D). The Thirteenth Circuit reasoned that Congress intended to "guide" the courts, but Congress enacts laws, not "guidance." Section 503(b) is a non-exhaustive list. However, within that non-exhaustive list Congress provided detail instructions for specific circumstances. Expenses for substantial contributions fall within the category addressed by § 503(b)(3)(D). Since § 503(b)(3)(D) restricts substantial contributions claims to cases under chapters 9 and 11, they are restricted to those chapters.

5. The natural reading of § 503(b)(3)(D) best fits the purpose of the Bankruptcy Code to achieve equality of distribution among creditors, its legislative history, and judicial practice before the passage of the Code in 1978. It is well settled that high-priority administrative expenses should be narrowly construed because they reduce the bankruptcy estate. Thus, even if § 503(b) is ambiguous, it should be narrowly construed to exclude substantial contribution claims in Chapter 7 cases. Judicial construction before the passage of the 1978 Bankruptcy Code

limited substantial contribution claims to reorganization cases such as cases under chapters 9 and 11, rather than liquidation cases like those under Chapter 7. The legislative history of § 503(b)(3)(D) confirms that Congress did not intend to expand substantial contribution administrative expenses to liquidation cases. This Court should not depart from common law practice to find a new way to reduce the bankruptcy estate absent a clear statement from Congress.Moreover, congress has ratified the settled consensus that substantial contribution expenses are not allowable in chapter 7 cases. Since the enactment of the Code in 1978, Congress has amended the Code four times. Congress made over twenty changes to § 503. However, it left § 503(b)(3)(D) intact.

6. Courts cannot rely on equity principles to upset Congress' decision to limiting substantial contribution to cases in cases under chapter 9 and 11. In allowing substantial contributions in cases under chapter 7, this Court will undercut the point of the Bankruptcy Code. Because of these reasons, the opinion of the circuit court should be reversed.

ARGUMENT

The facts of this case are undisputed. R. at 3. This case presents only questions of law, which this Court reviews *de novo. Highmark, Inc. v. Allcare Health Management System, Inc.*, 134 U.S. 1744 (2014).

I. The Plain Language of the Automatic Stay under Section 362(A) Forbids any Act to Exercise Control over the Estate and Section 542(A) Creates a Duty on the Secured Creditor to Turn over Property of the Estate

A. Retaining the estate's property despite the automatic stay is an "act to exercise control" over the property under 362(a)(3)

"A court's interpretation of the Bankruptcy Code starts where all such inquiries must begin: with the language of the statute itself." *Ransom v. FIA Card Servs., N.A.*, 562 U.S. 61, 131 (2011). "[W]hen the statute's language is plain, the sole function of the courts . . . is to enforce it according to its terms" unless doing so would destroy the statute's purpose. *Hartford Underwriters Ins. Co. v. Union Planters Bank, N. A.*, 530 U.S. 1, 6 (2000). The plain language of Section 362(a)(3) forbids a secured creditor to engage in "any act" to "exercise control" over property of the estate. Black's Law Dictionary defines "control" broadly as the ability to "exercise power or influence over." Black's Law Dictionary (10th ed. 2014).

The Thirteenth Circuit characterizes Respondent's prepetition possession as a "passive" violation on the basis that possession is not an "act." R. at 3. This ignores longstanding precedent and frustrates the plain meaning of the Code's plain language that a party violates the automatic stay when it takes an "act to exercise control" over the property of the estate.

"The scope of automatic stay is broad and will operate to enjoin essentially any act, whether the commencement *or continuation thereof*, by a creditor to collect on prepetition claim." *In re Harchar*, 393 B.R. 160, 168 (Bankr. N.D. Ohio. 2008) (emphasis added). The automatic stay is intended to be far reaching to effectuate a primary goal of our bankruptcy laws to give the debtor a fresh start.

In this case, a demand to turn over property of the estate was made on the Respondent, and he refused (R. at 6). Respondent's refusal to cooperate with the estate representative constitutes an action. See *Weber v. SEFCU (In re Weber)*, 719 F.3d 72 (2d Cir. 2013). The refusal to turn over property of the estate after demand has been made rises to the level of an "act."

Courts ordinarily speak of "acts to exercise control" over tangible property in cases involving the common law tort of conversion, which requires an "act of dominion wrongfully exerted over another's personal property." *Hartford Fin. Corp. v. Burns,* 96 Cal. App. 3d 591, 598 (Ct. App. 1979); *accord* Restatement (Second) of Torts § 227. Continued possession of the property after demands are made can be considered an "act." *Id.* In *Hartford Fin. Corp.*, the court found that a secured party trucking company converted a debtor's property because it refused to "relinquish possession" after the Debtor had defaulted on loan payments. In *Hartford Fin. Corp.*, 96 Cal. App. 3d at 598. The refusal to give up possession was an "act of dominion." *Id.* Additionally, in the common law property claim of trespass to chattels, mere possession can constitute an "act" so long as the owner is deprived of its use. *In re Vertis Holdings, Inc.*, 536 B.R. 589, (Bankr. D. Del., 2015). Indeed, *possession is enough* to warrant recovery of substantial damages for conversion." *McKee v. Gratz*, 260 U.S. 127, 137 (1922) (emphasis added). Thus, possession alone, under certain circumstances qualifies as an impermissible "act to exercise of control."

Accordingly, continuous possession of property of the estate that began prior to the filing of the petition has been interpreted as an "act to exercise control" over the estate's property for purposes of Section 362(a)(3). *Weber v. SEFCU (In re Weber)*, 719 F.3d 72, 82 (2d Cir. 2013); *Thompson v. General Motors Acceptance Corp.*, LLC, 566 F.3d 699, 702 (7th Cir. 2009); *In re Sharon*, 234 B.R. 676, 681 (B.A.P. 6th Cir. 1999); *Knaus v. Concordia Lumber Co. (In re Knaus)*, 889 F.2d 773, 775 (8th Cir. 1989); *In re Metromedia Fiber Network, Inc.*, 290 B.R. 487, 490 (Bankr. S.D.N.Y. 2003). *In re Metromedia Fiber Network, Inc.*, 290 B.R. 487, 490 (Bankr. S.D.N.Y. 2003).

B. Section 542(a)(2) creates a mandatory duty on the lien holder to turn over property

"When a statute distinguishes between 'may' and 'shall,' it is generally clear that 'shall' imposes a mandatory duty." *Kingdomware Technologies, Inc. v. U.S.*, 136 U.S. 1969, 1977 (2016). Although public policy and equity concerns sometimes allow "may" to create a mandatory duty, *Hitchcock v. Hitchcock*, 78 Wis. 2d 214, 220 (1977), "shall," is construed as a mandatory provision, *Mallard v. U.S. Dist. Court for S. Dist*., 490 U.S. 296, 303 (1989). Particularly "when the words 'shall' and 'may' are used in the same section of a statute, one can infer that the legislature was aware of the different denotations and intended the words to have their precise meanings." *Karow v. Milwaukee Cnty. Civ. Serv. Com.*, 82 Wis. 2d 565, 214-215 (1978).

§542(a) is precisely one of these sections where "shall" and "may" are both used. When comparing these two words in the same part of the statute, the "cardinal canon" of statutory interpretation applies: the "legislature says in [the] statute what it means and means in statute what it says there." *Connecticut Nat. Bank v. Germain*, 503 U.S. 249, 254 (1992) (also see Judge Moon's dissent, R. at 24). 542(a), therefore, obligated the Respondent to deliver estate property to the estate representative. *Sensenich v. Ledyard Nat'l Bank (In re Campbell)*, 398 B.R. 799, 811 (Bankr. D. Vt. 2008).

The circuit court failed to apply §542(a)'s mandatory language. "To effectuate the purpose of the automatic stay, the onus to return estate property is placed upon the possessor; *it does not fall on the debtor to pursue the possessor*." *In re Del Mission Ltd*., 98 F.3d at 1151 (emphasis added). By refusing to turn over the trucks even after the Debtor and Petitioner demanded them, Respondent failed to follow this straightforward directive and, in doing so, took an "act to

exercise control" over the estate's property, § 362(a)(3), no less than any other person who disobeys a mandatory order—to pay a fine, for example—does an "act" that may be punished. In ruling otherwise, circuit court below failed to follow the plain reading of the statute.

On the importance of precedent, this court has stated, "stare decisis is the preferred course because it promotes evenhanded, predictable and consistent development of legal principles, fosters reliance on judicial decisions, and contributes to the actual and perceived integrity of judicial process." *Payne v. Tennessee*, 501 U.S. 808, 827 (1991). In *Whiting Pools* this Court decided that §542 required mandatory turnover of that property to the trustee. The principles of s*tare decisis* demand this holding be simply straightforwardly applied to the case at bar.

II. The Bankruptcy Code Envisions a Procedure under Section 542(A) and Section 362 Not Followed by the Thirteenth Circuit

A. The burden to file for affirmative relief in the form of relief from stay or adequate protection rested with the Respondent - not the Petitioner

The majority assumes that the proper remedy over the mandatory language of "shall" is merely a "right to a procedure." R. at 12. The burden to bring this procedure nevertheless rests with the secured party, and not the estate representative. Sections 542(a) and 362(a)(3) envision a duty on the secured party in possession of property of the estate to turn over the property and a procedure by which the estate may recover the property if the secured party acts to violate that duty. *In re Sharon*, 234 B.R. at 683.

This is supported by the statutory purpose of 7001(1). 7001(1) adversary proceedings were initially based on a creditor's filing of an objection along with a demand for relief. These demands and objections were filed by the secured party, and not the trustee.

> Prior to the 2007 amendments to Rule 3007, when an objection was joined with a demand for relief of the kind specified in Rule 7001, Rule 3007 dictated that the matter became an adversary proceeding. Thus, if the trustee or debtor in possession asserted a counterclaim in *response to a proof of claim*, the entire matter ordinarily became an adversary proceeding, subject to the rules of Part VII, unless the counterclaim was not of the type specified in Rule 7001.

10 Collier on Bankruptcy ¶7001.01 (16th ed. 2018) (emphasis added).

Thus, an adversary proceeding for turnover did not precede creditor action. Instead, adversary proceedings occurred as a response to a creditor's affirmative filing. For example, in *Whiting Pools, Inc.,* 462 U.S. at 201, as the secured party, the IRS had the onus to seek affirmative relief from the stay, and did so. 462 U.S. at 201. The Debtor in Possession then counterclaimed in its answer demanding the estate property be turned over pursuant to § 542. *Id.* An adversary proceeding followed, as anticipated by 7001(1). The IRS followed the correct procedure by bringing a motion to the court first – unlike Respondent, who did not seek relief from stay or file an adversary proceeding, despite refusal to turn over the property of the estate.

B. Respondent was required to request adequate protection if he wanted it–and failed to do so

A secured party has a right to ask for adequate protection, but it has to do just that: ask for it. A bankruptcy court "on request" from the secured party will grant adequate protection. 11 U.S.C. § 363(e). *In re Big3D, Inc.*, 438 B.R. 214, 221 (B.A.P. 9th Cir. 2010). Thus, the secured creditor seeking relief has the burden to "move first" because the adequate protection right is not self-effectuating. *In re Hinckley*, 40 B.R. 679 (Bankr. D. Utah 1984). Contrast this with the plain language of § 542(a), which is automatic.

We agree that "[I]t is elementary rule of construction that the act cannot be held to destroy itself." R. at 14 (quoting *Citizens Bank of Maryland v. Strumpf,* 516 U.S. 286, 289 (1995), and *Texas & P. Ry. Co. v. Abilene Cotton Oil Co*., 204 U.S. 426, 446 (1907)). The

Circuit Court violated this rule when it read the right to adequate protection under § 363(e) to abrogate the duty under § 542(a) to turn over the estate's assets. This reading is overbroad and unnecessarily constrains the statute.

Whiting Pools held that tangible personal property seized by a secured creditor prepetition must be turned over postpetition. 462 U.S. at 211. It also decided that procedurally the burden to bring such an action is on the secured party. "A [Secured party] is required to seek protection of its interests according to congressionally established bankruptcy procedures rather than by withholding seized property from debtor's efforts to reorganize." *Id.* at 198. Furthermore, *Whiting Pools* stated that the placing an affirmative duty on the secured creditor to ask for adequate protection does not mean he will lose his substantive right to it. *Id.* at 211 ("The IRS's tax lien does not dissolve nor is its status as a secured creditor destroyed; rather, IRS remains entitled to adequate protection for its interests."). If the court below had followed the straightforward directive in § 542(a), as did this Court in *Whiting Pools*, it would have found in favor of the petitioner.

Respondent could have asked for adequate protection at any time. He failed to do so. Because "ignorance of the law will not excuse any person, either civilly or criminally," *Jerman v. Carlisle, McNellie, Rini, Kramer & Ulrich, LPA*, 559 U.S. 573, 583 (2010), Respondent's belief that "the Debtor had the burden to bring a turnover action," R. at 6, does not change his duties that arise from the Bankruptcy Code. He should have affirmatively sought protection. Because he chose instead to retain the trucks despite demands to return them to the control of the Debtor, he violated the automatic stay.

C. The "Explicit limitations" of Section 542(a) are patently inapplicable to the current case

The majority below relied on dicta about "explicit limitations" on property of the estate, and "inconsequential property," to avoid applying the holding of *Whiting Pools* directly. R at 13. In so doing, they engage in what Justice Stevens called an "interpretive contortion." *U.S. v. Santos*, 553 U.S. 507, 522 (2008).

Whiting Pools enumerates the explicit limitations to three types: (1) good faith transfers under § 542(c), (2) insurance transfers under § 542(d), and (3) the exception under § 542 that the property is "of inconsequential value or benefit to the estate." *Whiting Pools* at 202.[1] None of these limitations apply to the current case. These explicit limitations by their plain language simply do not encompass property that-a security lien holder may require (but does not request) for adequate protection. The majority misreads *Whiting Pools*' acknowledgement of "explicit limitations" in § 542(a) in reasoning that because "542(a) expressly references section 363, the turnover power is necessarily subject to section 363(e)." R. at 13. However, Section 363 will not "necessarily" be subject to § 363(e) if a trustee never proposes to be use lease or sell the property in the first place.

D. Respondent is better positioned to request for adequate protection to meet their burden of production

In determining how to best administer adequate protection, courts "do not have techniques or paraphernalia with which to make evaluations or predictions with the finite exactitude." *In re Pitts*, 2 B.R. 476, 478 (Bankr. Cal.1979). Implementing the adequate protection right is often a highly factual inquiry that depends on the specific facts of the case. *Id.*

[1] A full analysis of whether the snow plow trucks are of "consequential value" is outside the scope of the question. *Whiting Pools* would certainly suggest as much. We move forward that the snow plows are not inconsequential because the snow plow trucks were property necessary to run the business, see *In re Alpa Corp.,* 11 B.R. 281 (Bankr. D. Utah 1981)

at 477. Adequate Protection for "cash collateral" can be treated differently than the proceeds of rents, for example. *See In re Proalert, LLC*, 314 B.R. 436, 440 (B.A.P. 9th Cir. 2004); *Putnal v. SunTrust Bank*, 489 B.R. 285 (M.D. Ga. 2013). There are numerous other considerations for different kinds of collateral, for example declining value in an equity cushion, *Pa. State Emps' Ret. Fund v. Roane*, 14 B.R. 542, 546 (E.D. Pa. 1981), or even whether the collateral at issue is insured, *In re Littleton*, 220 B.R. 710, 715 (Bankr. M.D. Ga. 1998).

Thus, the "party seeking relief from automatic stay due to lack of adequate protection has burden of proving a prima facie case of cause due to lack of adequate protection." (*In re Coates*, 180 B.R. 110 (Bankr. D.S.C. 1995). If a creditor wants to seek adequate protection, he is in the best position to meet this burden – not the estate representative.

E. Requiring the Trustee to undertake a Turnover Proceeding instead of a Secured Creditor Reduces the Going Concern Value

The majority points out that the Petitioner failed to bring a turnover action. R. at 6. Requiring a trustee or Debtor in Possession to bring a turnover action every time a secured creditor improperly withholds estate property burdens the estate representative with bringing litigation despite the clear, mandatory language to the contrary in § 542(a). Adversary proceedings are often lengthy, expensive, and take months to complete, if indeed they are filed at all. Baird, Douglas G. and Morrison, Edward R. *Adversary Proceedings in Bankruptcy: A Sideshow.* 79 Am. Bankr. L.J. 951, 956 (2005). Timing is a particular concern in Chapter 11 cases, where every day the business cannot operate hemorrhages cash that might otherwise be

available to the estate representative.[2] This unnecessarily impedes a key goal in all restructurings: to maintain the business as a going concern and maximize value.

When Respondent failed to turnover property of the estate as was requested, the trustee "concluded that efforts to reorganize the Debtor would be futile." R. at 6.[3] If Respondent had returned the snowplows earlier with enough time to consummate its competitor's proposed offer, it might have avoided a costly appeal and continued litigation expenses.

F. Petitioner's plain reading best serves the Bankruptcy Code's goal of marshalling the assets

Section 541 is construed broadly to create a bankruptcy estate comprised of "all legal and equitable interests of the debtor." *In re Weber,* 719 F.3d at 75. The legislative history shows that 541 was enacted to have a "vast" breadth, giving the bankruptcy court "in personam jurisdiction over all proceedings whether or not involving a specific item of property." H.R. Rep. No. 95-595, at 49 (1978), *reprinted in* 1978 U.S.C.C.A.N. 5963, at 6010; *see also United States v. Whiting Pools, Inc.,* 462 U.S. 198, 205 nn. 8 & 9 (1983). This right reaches farther than property rights afforded under state law to effectuate Congress' goals of marshalling the assets. *In re Onecast Media, Inc*., 439 F.3d 558, 563 (9th Cir. 2006).

362 is construed broadly. *Pa. Dep'' of Pub. Welfare v. Davenport*, 495 U.S. 552, 560 (1990). Section 362(a)(3) relies on Section 541 explicitly. *Am. Honda Fin. Corp*., 220 B.R. 710, 715 (Bankr. M.D. Ga. 1998). A plain reading of the text in 362(a)(3) demonstrates that the

[2] Adversary proceedings can take months or even years, see Fed. R. Bankr. P 7012(a), Rule 7016, 7026, 7030-7032, 7033, 7037 and 7056.

[3] If Respondent attempted to "seek conversion" of the Chapter 11 estate into a Chapter 7, by "urging" the liquidation, this could be an independent violation the automatic stay, see footnote 10, *United States v. Inslaw, Inc*., 932 F.2d 1467, 1474 (D.C. Cir. 1991)

phrase "property of the estate" is stated three separate times within the same subparagraph of 362(a)(3). This repetition underscores the broad reach of the automatic stay - a reach intended to cast a wide net to effectuate the goals of marshalling the assets.

Thus, Section 362 should be read to require parties in possession of the estate's assets to return them when demanded without taxing the estate's and the court's resources with an adversary proceeding. Simply calling certain res "property of the estate" would mean little if the estate does not have ability to get it back on demand, without expending valuable funds to bring an adversary proceeding.

G. Mere promises to payments can be distinguished from possessing tangible personal property

In *Citizens Bank of Maryland v. Strumpf*, 516 U.S. 286, 22 (1995), the court found that a mere "promise to pay" did not amount to an act to exercise control under 362(a)(3). Our current case is plainly distinguishable from *Strumpf.* A temporary administrative freeze on a bank account does not violate 362(a)(3), *In re U.S. Physicians, Inc.*, 235 B.R. 367 (Bankr. E.D. Pa. 1999), whereas an affirmative refusal to turn over tangible property following demand patently constitutes an "act to exercise control."

Moreover, intangible property, like the accounts at issue in *Strumpf*, and tangible property like the snow plow trucks at issue here are treated differently in a number of places throughout the bankruptcy code. *In re Sigmund London, Inc.*, 139 B.R. 765 (Bankr. E.D.N.Y. 1992); to conflate the analysis risks reading the more specific provision in § 542(b) to the more general § 542(a). As one court stated, "[t]he difference matters." *In re Harchar*, 694 F.3d 639, 646 (6th Cir. 2012).

Certain cases favorably cited by the Thirteenth Circuit are factually analogous to *Strumpf* in that the property of the estate at issue refers to such temporary promises to pay. R at 12 (citing *In re Hall*, 502 B.R. 650, 654-59 (Bankr. D.D.C. 2014)), or otherwise intangible property, R. at 12 (citing *United States v. Inslaw, Inc*., 932 F.2d 1467, 1474 (D.C. Cir. 1991)). The code treats these differently; a temporary freeze on a promise to pay is not the same thing as an "act to exercise control." They should be distinguished as such.

III. The Bankruptcy Code Does Not Authorize Courts to Reimburse Creditors For Expenses Incurred in Making a Substantial Contribution in a Chapter 7 Case

The majority of courts, including the Third Circuit, have held that bankruptcy courts may not reimburse expenses for substantial contributions as "administrative expenses" under 11 U.S.C. § 503(b) in Chapter 7 cases. [4] The natural reading of the text, the basic rules of construction, the statute's legislative history, and the historical practice before the enactment of the Bankruptcy Code in 1978 all support this majority view.

[4] *Lebron v. Mechem Fin. Inc.*, 27 F.3d 937, 945 (3d Cir. 1994); *In re Peterson*, 152 B.R. 612, 614 (D.S.D. 1993); *In re Beck Rumbaugh Assocs. Inc.*, 84 B.R. 369, 371 (E.D. Pa. 1988); *In re Kavlakian*, No. 06–11280–JNF, 2013 WL 2422688, at *11 n. 2 (Bankr. D. Mass. June 3, 2013); *In re Watson*, 495 B.R. 88, 93–95 (Bankr. D. Col. 2013); *In re Keeley and Grabanski Land P'ship,* No. 10–31482, 2013 WL 4170414, at *11 (Bankr. D.N.D. Aug. 15, 2013); *In re Engler*, 500 B.R. 163, 174 (Bankr. M.D. Fla. 2013); *In re Schimmel*, No. 11–10272, 2012 WL 6538953, at *1 (Bankr. N.D. Cal. Dec. 12, 2012); *In re Lambert*, No. 04–30394–WRS, 2010 WL 3927067, at *1–2 (Bankr.M.D.Ala. Oct. 5, 2010); *In re Courtney*, 359 B.R. 883, 887 n. 2 (Bankr. E.D. Tenn. 2007); *In re Hackney*, 351 B.R. 179, 200–05 (Bankr. N.D. Ala. 2006); *In re Harvey*, No. 04–35576PM, 2006 WL 4481990, at *2 (Bankr. D. Md. Nov. 22, 2006); *In re Hall*, 373 B.R. 788, 800 (Bankr. S.D. Ga. 2006); *In re Chavez*, No. 05–29937–B–7, 2006 WL 3832858, at *3 (Bankr. E.D. Cal. Dec. 27, 2006); *In re Dorado Marine, Inc.*, 332 B.R. 637, 640 (Bankr. M.D. Fla. 2005); *In re United Container LLC*, 305 B.R. 120, 128 (Bankr. M.D. Fla. 2003); *In re Blount*, 276 B.R. 753, 757 (Bankr. M.D. La. 2002); *In re Schachter*, 228 B.R. 359, 362 (Bankr. E.D. Pa. 1999); *In re Conty*, 205 B.R. 329, 332 (Bankr. M.D. Fla. 1996); *In re Alumni Hotel Corp.*, 203 B.R. 624, 631 (Bankr. E.D. Mich. 1996); *In re Francosky*, 185 B.R. 550, 551 (Bankr. N.D. Ohio 1995); *In re Indian Motocycle Apparel and Accessories Co., Inc.*, 174 B.R. 659, 663 n. 2 (Bankr. D. Mass. 1994); *In re Trinsey*, 115 B.R. 828, 836 (Bankr. E.D. Pa. 1990); *In re Kahler*, 84 B.R. 721, 723 (Bankr. D. Col. 1988); *In re Beck–Rumbaugh Assocs., Inc.*, 68 B.R. 882, 885–86 (Bankr. E.D. Pa. 1987), *aff'd,* 84 B.R. 369, 371 (E.D. Pa. 1988); *In re Romano*, 52 B.R. 590, 594 (Bankr. M.D. Fla. 1985).

A. The Natural Reading of § 503(b)(3)(D) Excludes the Allowance of An Administrative Expense Priority Claim for Making a Substantial Contribution in a Chapter 7 Case

"When interpreting a statute," it bears repeating, this Court gives words and phrases their "ordinary or natural meaning." *Leocal v. Ashcroft*, 543 U.S. 1, 9 (2004) *see also Marx v. Gen. Revenue Corp.*, 568 U.S. 371, 376 (2013) (stating that courts should "assume that the ordinary meaning of [a statute's] language accurately expresses the legislative purpose"). Section 507 of the Bankruptcy Code states that the estate must pay "administrative expenses allowed under section 503(b)" before paying most unsecured creditors. Section 503(b) defines the types of "administrative expenses" that are entitled to this preferred status. It reads, "[t]here shall be allowed administrative expenses . . . including" numerous categories. 11 U.S.C. § 503(b). One such category is "the actual, necessary expenses…incurred by…a creditor . . . in making a substantial contribution in a case under chapter 9 or 11 of this title." § 503(b)(3)(D).

Read naturally, § 503(b) does not authorize substantial contribution claims in cases under the four chapters of the Bankruptcy Code that Congress omitted. 3 Norton Bankr. L. & Prac. 3d § 49 (agreeing that section 503(b)(3)(D) "is specifically limited to expenses arising in a chapter 9 or chapter 11 case"). Consider an analogy. A law school in New York City hires a new bankruptcy professor. As part of the deal (and to the envy of his colleagues) the law school offers to pay the professor's "living expenses," "including transportation, lunch each day, and rent for an apartment in Brooklyn or Queens" (two of the five boroughs in New York City). Would the professor rent an apartment in the Upper East Side of Manhattan, expecting that the law school would reimburse him? Not likely. Since the law school specified the two boroughs, the professor would not presume he could seek reimbursement from law school funds for an apartment in

Manhattan, Staten Island, or The Bronx. Perhaps the law school has ties to Brooklyn and Queens, or made a promise to a donor. Similarly, a court cannot presume it has permission to spend creditors' money on expenses for substantial contributions in Chapter 7 cases when Congress knowingly omitted such cases from the list it provided. "For whatever reason, Congress chose not to include reference to those other chapters in § 503(b)(3)(D)," and the courts should respect that choice. *In re Peterson*, 152 B.R. 612, 614 (D.S.D. 1993).

B. Basic Rules of Statutory Construction Confirm that Substantial Contribution Claims are Limited to Cases under Chapter 9 and 11

Respondent asks the Court to rewrite the statute. By seizing on the word "including" in § 503(b)'s introductory sentence, Respondent, in effect, urges the Court to change § 503(b)(3)(D) to add chapter 7 to the list of chapters in § 503(b)—so that the provision authorizes bankruptcy courts to pay "the actual, necessary expenses…incurred by…a creditor…in making a substantial contribution in a case under chapter 7, 9, or 11 of this title." But if Respondent wants courts to reimburse creditors for substantial contributions to chapter 7 cases, they must ask "Congress, not this Court, to rewrite the statute." *United States v. Thirty-Seven (37) Photographs*, 402 U.S. 363, 369 (1971). Respondent's reading of § 503(b)'s existing language is not only an unnatural, but would also offend multiple well-established canons of statutory interpretation.

1. By Specifying Chapters 9 and 11, Congress Excluded Chapter 7 Cases

Subsections (3)(D) and (5) are the only paragraphs in section 503(b) that specify particular chapters—9 and 11—of the Bankruptcy Code to which they apply. Congress excluded the other four chapters from both subsections. "[E]xpressing one item of [an] associated group or series excludes another left unmentioned." *United States v. Vonn*, 535 U.S. 55, 65 (2002). Thus, when Congress lists "a series of two or more terms or things that should be understood to go hand in

hand, which is abridged in circumstances supporting a sensible inference that the term left out must have been meant to be excluded," courts should presume Congress intended to exclude the outlier (here, chapter 7). *Chevron U.S.A. Inc. v. Echazabal*, 536 U.S. 73, 81 (2002). This Court previously analogized: "[i]f a sign at the entrance to a zoo says 'come see the elephant, lion, hippo, and giraffe,' and a temporary sign is added saying 'the giraffe is sick,' you would reasonably assume that the others are in good health." *N.L.R.B. v. SW Gen., Inc.*, 137 S.Ct. 929, 940 (2017). When writing the Bankruptcy Code, Congress listed six animals: six types of bankruptcy cases (under chapters 7, 9, 11, 12, 13, and 15). In writing 503(b)(3)(D), Congress specified that it would tax the estate for "a creditor['s]… substantial contributions" in only two of those types of cases ("a case under chapter 9 or 11"). As in the zoo analogy, listing only two of six chapters makes the four omissions conspicuous. Therefore, readers would reasonably assume that in cases under the omitted chapters, the court would not allow substantial contribution expenses to diminish the bankruptcy estate. *Id*. Had Congress wanted to reimburse creditors for substantial contributions in chapter 7 cases, it could have easily done so by authorizing substantial contribution claims "in a case under chapter 7, 9, or 11." *See, e.g., Lozano v. Montoya Alvarez,* 134 S. Ct. 1224, 1235 (2014) (stating that when Congress does not adopt the "obvious alternative" language, "the natural implication is that they did not intend" the alternative).

2. Rule Against Surplusage

Petitioner's natural reading of § 503(b) is the only one that gives meaning to the whole text. "It is a cardinal principle of statutory construction that we must give effect, if possible, to every clause and word of a statute." *Williams v. Taylor*, 529 U.S. 362, 404 (2000); *see also Babbitt v. Sweet Home Chapter of Comtys. for a Great Or.*, 515 U.S. 687, 724 (1995) ("Statutes

should be read so far as possible to give independent effect to all their provisions."). By adopting Respondent's reading, this Court would authorize courts to pay substantial contribution claims in cases under all chapters of the Code. In doing so, it would render the phrase "in a case under chapter 9 or 11" superfluous. 11 U.S.C. § 503(b)(3)(D).

The Sixth and Thirteenth Circuits dismissed § 503(b)(3)(D) and its reference to chapters 9 and 11 as "guidance;" according to them, Congress drafted and passed that provision to give courts "examples" of "the most common administrative expenses intended to be allowed." *In re Connolly N. Am., LLC*, 802 F.3d 810, 817 (6th Cir. 2015); R. at 19. Congress, however, enacts laws, not "guidance." *In Cooper Indus., Inc. v. Aviall Servs., Inc.*, this Court rejected a similar argument. 543 U.S. 157, 166 (2004). The statute at issued provided that "[a]ny person may seek contribution . . . during or following any civil action under [§§ 106 or 107(a)] of this title." *Id.* There, the Court rejected the argument that the word "may" indicated that "during a civil action" was "one but not the exclusive instance in which a person may seek contribution." *Id.* It reasoned that if the statute "were read to authorize contribution actions at any time, regardless of the existence of a § 106 or § 107(a) civil action, then Congress need not have included the explicit 'during or following' condition. In other words, [a contrary] reading would render part of the statute entirely superfluous, something we are loath to do." *Id.* Likewise, the Court cannot give effect to the phrase "in a case under chapter 9 or 11" unless it restricts substantial contribution claims to cases under those chapters.

Sometimes, Congress' adds redundant language to "remove . . . any doubt" that a provision covers certain cases. *Marx*, 568 U.S. at 383. However, the rest of § 503(b) demonstrates that the phrase "in a case under chapter 9 or 11" has meaning in § 503(b)(3)(D). Strikingly, Sections 503(B)(1) (2), (6), (7), (8) and (9) do not list particular chapters of the Bankruptcy Code. Congress

knew that readers would understand that these provisions applied in all chapters. If Congress intended § 503(b)(3)(D) to also apply in all chapters, it would have used the "obvious alternative" method it used in the other provisions; it would have not specified particular chapters. *See Lozano,* 134 S. Ct. at 1235. Instead, § 503(b)(3)(D) specifies chapter 9 and 11 because Congress meant substantial contributions expenses to be reimbursed only "in a case under chapter 9 or 11." *See Lebron*, 27 F.3d at 945 ("There are provisions of § 503 other than subsection (b)(3)(D) that authorize reimbursement of expenses incurred in connection with a chapter 7 proceeding, and we believe that post-conversion expenses were intended to be reimbursable under those provisions or not at all.").

3. The Specific Governs the General

Respondents' reading would also violate the "commonplace rule of statutory construction that the specific governs the general." *Morales v. Trans World Airlines, Inc.,* 504 U.S. 374, 384 (1992). To justify ignoring the specific language in § 503(b)(3)(D) restricting substantial contribution claims to chapter 9 and 11 cases, the Sixth and Thirteenth Circuits relied on the general language of § 503(b), which states that "administrative expenses . . . *includ[e]*" the nine categories listed in § 503(b). R. at 18; *In re Connolly,* 802 F.3d at 816. The courts reasoned that § 102 of the Code defines the words "include" and "including" as "not limiting," and, as a result, "there is a broad consensus that the categories listed in [§ 503(b)] are not exhaustive." *R. at 18; In re Connolly*, 802 F.3d at 816. We agree. Section 503(b)'s list of nine categories is non-exhaustive; there are other, unenumerated types of administrative expenses that Courts may award. However, in creating the specific subcategories that § 503(b) *does* list, Congress provided detailed instructions for how to handle particular classes of administrative expenses. Through those specific subcategories (like § 503(b)(3)), Congress "deliberately targeted specific problems" (such as when to reimburse

creditors for substantial contribution expenses before paying other creditors) "with specific solutions" (only in case under chapters 9 and 11); and it expected that that those "specific solutions" would govern the problems they targeted. *Varity Corp. v. Howe,* 516 U.S. 489, 519 (1996). Put differently, the "[g]eneral language of a statutory provision [like "administrative expenses" in § 503(b)] although broad enough to include it, will not be held to apply to a matter specifically dealt with in another part of the same enactment" (like § 503(b)(3)(D)). *Bloate v. United States,* 559 U.S. 196, 207 (2010). Accordingly, although the general term "administrative expenses" is broad enough to "includ[e]" unenumerated categories, section 503(b)(3) deals specifically with "substantial contribution" expenses and limits them to cases under Chapter 9 or 11. Therefore, substantial contribution reimbursements are limited to cases under Chapters 9 and 11. *See HCSC–Laundry v. United States,* 450 U.S. 1, 6 (1981) (holding that the specific governs the general "particularly when the two are interrelated and closely positioned, both in fact being parts of" the same section).

In *Bloate,* this Court reached a similar conclusion. 559 U.S. at 208. There, it also faced a general subsection, in the Speedy Trial Act, exempting from the statutory indictment-to-trial time limit "any period of delay resulting from proceedings concerning the defendant, including but not limited to" several categories of delay, including "delay resulting from any pretrial motion, from the filing of the motion" to the court's decision on it. *Id.* Despite the phrase "including but not limited to," the Court held that because Congress specified that delays *after* the motion's filing were exempt, the time spent preparing the motion *before* its filing was non-exempt. *Id.* The Court reasoned, "[t]hat the list of categories [of delay was] illustrative rather than exhaustive in no way undermines our conclusion that a delay that falls *within* the category of delays addressed by [the] subparagraph [in dispute] is governed by the limits in that subparagraph." *Id.* A general clause that

reads "including but not limited to," could not modify the contents of a more specific subparagraph without rendering "even the clearest of the subparagraphs . . . virtually superfluous." *Id.* at 209. Therefore, confronted with this identically structured statute, this Court "treat[ed] the list as illustrative, but constru[ed] each of the . . . subparagraphs in [the section] to govern" its particular subject "conclusively unless the subparagraph itself indicate[d] otherwise." *Id.* Likewise, although 503(b)(1)–(9) is an inclusive list, rather than an exhaustive one, expenses for substantial contributions fall *within* the category addressed by 503(b)(3)(D). Therefore, they are "governed by the limits of that subparagraph." *Id.*

Under Respondent's reading, the opening paragraph of § 503(b) would swallow the more specific provisions in § 503(b)(3)(D) and § 503(b)'s other subparagraphs. *RadLAX Gateway Hotel, LLC v. Amalgamated Bank,* 566 U.S. 639, 645 (2012). Indeed, if Congress had meant § 503(b)'s use of "include" to render § 503(b)(1)–(9) non-limiting, it would not have included the various phrases within those subsections that explicitly limit the circumstances in which particular kinds of expenses may be reimbursed. For example, if Congress did not intend § 503(b)(3) to exclude anyone, § 503(b)(3)(D) would not explicitly exclude "a committee appointed under section 1102," and § 503(b)(3)(F) would not specify that such a committee could only be reimbursed "if [its] expenses are incurred in the performance of [its] duties." Petitioner's reading, wherein § 503(b)(3) limits the inclusiveness of 503(b), gives these limiting provisions meaning. As in *Bloate*, although § 503(b)'s "list of categories is illustrative rather than exhaustive," the more specific subparagraph (b)(3)(D) governs substantial contribution claims and limits them to a "case under chapter 9 or 11." 559 U.S. at 207.

As it did when drafting the Speedy Trial Act, in writing the Bankruptcy Code, "Congress knew how to define the boundaries of an enumerated exclusion broadly when it so desired." *Id* at 206.

Subsection (b)(1)(A), for example, provides that administrative expenses include "the actual, necessary costs and expenses of preserving the estate "*including*—(i) wages, salaries, and commissions for services rendered after the commencement of the case…" (emphasis added). With the word "including," Congress indicated that other expenses related to preserving the estate might fall under § 503(b)(1)(A)'s administrative expenses. *In re Mark Anthony Const., Inc.*, 886 F.2d 1101, 1104 (9th Cir. 1989). As a second example, Congress used the word "including" in section § 503(b)(1)(B)(i) to indicate that administrative expenses "includ[e] any tax incurred by the estate… *including* property taxes for which liability is in rem, in personam, or both…." (emphasis added). In subparagraph (b)(3)(D), "by contrast, Congress declined to use an expansive or illustrative term such as 'including,' and provided instead that" substantial contribution expenses would be paid before creditors only in a case under chapter 9 or 11. *Bloate*, 559 U.S. 207. Again, "[w]here Congress includes particular language in one section of a statute but omits it in another . . . , it is generally presumed that Congress acts intentionally and purposely in the disparate inclusion or exclusion." *Babbitt*, 515 U.S. at 724.

C. The Purpose of the Bankruptcy Code and Sections 507 and 726 Support Petitioners' Position

Giving creditors preferential treatment when they substantially contribute to chapter 7 cases would not only misread the text; it would also (1) frustrate the key purpose behind the Bankruptcy Code—that all creditors receive an "equal distribution"—and (2) change the practice, long accepted by Congress and the courts, of rewarding creditors' "substantial contributions" only in municipal debt adjustment and reorganization cases such as those brought under chapters 9 and 11.

D. The Presumption against Priority Status

A broad reading of § 503(b)(3)(D) is incompatible with the overall goals of the Bankruptcy Code. It is well settled that "the purpose of the Bankruptcy [Code] is equality of distribution…and if one claimant is to be preferred over the others, the purpose should be clear from the statute." *Nathanson v. N. L. R. B.*, 344 U.S. 25, 29 (1952) (citing *Sampsell v. Imperial Paper & Color Corp.*, 313 U.S. 215, 219 (1941)); *see also In re Mammoth Mart, Inc.*,536 F.2d 950, 953 (1st Cir. 1976) ("To give priority to a claimant not clearly entitled thereto is not only inconsistent with the policy of equality of distribution; it dilutes the value of the priority for those creditors Congress intended to prefer."). What constitutes "administrative expenses" should be narrowly construed because they reduce the bankruptcy estate. *See In re Federated Dep't Stores, Inc.*, 270 F.3d 994, 1000 (6th Cir. 2001) ("Claims for administrative expenses under § 503(b) are [to be] strictly construed because priority claims reduce the funds available for creditors and other claimants."). "The narrow construction of administrative expenses insures that payments out of the estate are kept to a minimum." *In re DAK Indus., Inc.*, 66 F.3d 1091, 1096 (9th Cir. 1995). Because the rare creditor that makes substantial contributions in a case under a chapter 7 does not "fit clearly within" § 503(b) or "the requirements of the priority statute," such a creditor cannot be accorded priority status. 4 Collier on Bankruptcy P 507.01 (16th 2018).

Indeed, 503(b)(3)(D) "represents an accommodation between the twin objectives of encouraging meaningful creditor participation in the reorganization process, and keeping fees and administrative expenses at a minimum so as to preserve as much of the estate as possible for the creditors." *Lebron*, 27 F.3d at 944. The Code requires the estate to reimburse "administrative expenses" before it pays any other claims to encourage parties to do business with the estate or to participate in the administration of the case when necessary. 4 Collier on Bankruptcy ¶ 503.06[3], p. 503-28 (16th ed. 2016); 11 U.S.C. § 507(a)(1) and § 726(a)(1). But as the Sixth and

Thirteenth Circuits conceded, creditors' contributions are frequently needed in cases under chapter 9 and 11, but not in the vast majority of cases under chapter 7. *In re Connolly*, 802 F.3d at 817 ("[I]n a properly administered case under Chapter 7, a creditor will not be in a position to "substantially contribute" to the estate by pursuing the acting trustee's removal and prosecuting a claim on behalf of the estate."); R. at 19. Thus, there are good reasons for Congress to have withheld substantial contribution expenses in chapter 7 cases, where estates are often small, and contributions are most often unneeded because trustees are appointed to preserve and liquidate the estate.

E. The Legislative History of Section 503(b)(3)(D) Is Consistent with Limiting Substantial Contribution Expenses to Chapter 9 and 11 Cases

Moreover, the Court should not "read the Bankruptcy Code to erode past bankruptcy practice absent a clear indication that Congress intended such a departure." *Cohen v. de la Cruz*, 523 U.S. 213, 221 (1998) (internal quotation marks and citation omitted). "The Court has followed this rule with particular care in construing the scope of bankruptcy codifications." *Midlantic Nat'l Bank v. New Jersey Dep't of Envtl. Protection*, 474 U.S. 494, 501 (1986) (citation omitted). Before Congress enacted the 1978 Bankruptcy Act, "substantial contribution" reimbursements were only allowed in reorganization and municipal debt adjustment cases (now brought under Chapter 9 and 11), not in liquidation cases (now brought under Chapter 7). Section 503(b)(3)(D) is derived from §§ 242 and 243 of Chapter X of the former Bankruptcy Act, H.R. Rep. No. 95-989, 66 (1978), *reprinted in* 1978 U.S.C.C.A.N. 5787, 585, the "Corporate Reorganization" chapter, *Caplin v. Marine Midland Grace Tr. Co. of New York*, 406 U.S. 416, 422–23 (1972) ("In contradistinction to a bankruptcy proceeding where liquidation of a corporation and distribution of its assets is the

goal, a Chapter X proceeding [was] for purposes of rehabilitating the corporation and reorganizing it."). Substantial contribution reimbursements under sections 242 and 243 could be made only in Chapter X cases. 11 U.S.C. § 501 (repealed 1978) ("The provisions of this Chapter shall apply exclusively to proceedings under this chapter"); *In re Calumet Realty Co.*, 34 B.R. 922, 925 (Bankr. E.D. Pa. 1983) ("Such compensation was not allowed in Chapter XI cases under the Bankruptcy Act."). Accordingly, courts awarded such expenses only in Chapter X cases. *In re FAS Int'l, Inc.*, 382 F. Supp. 77, 80 (S.D.N.Y. 1974), *aff'd sub nom. In re Fas Int'l, Inc.*, 511 F.2d 1164 (2d Cir. 1975). Neither the Sixth nor the Thirteenth Circuits could identify any pre-1978 cases (and only four after 1978) reimbursing expenses for a substantial contribution to a liquidation case. *See In re Connolly N. Am.*, 802 F.3d at 824 ("Coface has not identified any pre-Bankruptcy Act practice of granting administrative expense status to creditor contributions in chapter 7 proceedings").

The 1978 Act's legislative history indicates that Congress did not intend to expand substantial contribution reimbursements to liquidation cases. The House Report's language limits "substantial contribution to a *reorganization or municipal debt adjustment case*…." H.R. Rep. No. 95-595, 355 (1978), 1978 U.S.C.C.A.N. 5963, 6311 (emphasis added). Likewise, the Senate Report explains § 503(b)(3)(d) by stating that "a creditor . . . that makes a substantial contribution to a reorganization or municipal debt readjustment case . . . are . . . allowable administrative expenses," leaving out liquidation cases. S. Rep. 95-989, 66 (1978) U.S.C.C.A.N. 5787, 5852. Neither the Sixth nor the Thirteenth Circuits addressed this language, and it indicates that Congress meant to continue established practice and reimburse substantial contribution expenses only in reorganization and municipal debt adjustment cases.

F. Congress Has Ratified Petitioner's Reading of the Text

Nearly all courts to have addressed the issue (outside the Sixth Circuit) share Petitioner's view that § 503(b)(3)(D) excludes substantial contribution reimbursements in chapter 7 cases, and Congress has ratified that judicial consensus. The two requirements for congressional ratification are met here: (1) "the judicial consensus was so broad and unquestioned that we must presume Congress knew of" it, and (2) Congress reenacted § 503(b)(3)(D) without changing the language, indicating that it "endorsed" the consensus. *Jama v. Immigration & Customs Enf't,* 543 U.S. 335, 349 (2005). Since the enactment of the Bankruptcy Code in 1978 until the Sixth Circuit erred in *In re Connolly* in 2015, "25 bankruptcy courts or district courts either denied recovery for substantial contribution in a chapter 7 or recognized that § 503(b)(3)(D) is limited to only chapters 9 and 11…. In contrast, only four bankruptcy courts granted substantial contributions as an administrative expense in chapter 7." *In re Connolly*, 802 F.3d at 823 (O'Malley, J. dissenting) (compiling the cases). And one of those four outliers was reversed by the Third Circuit. *In re Lloyd Sec., Inc.,* 75 F.3d 853, 857 (3d Cir. 1996) (concluding that § 503(b)(3)(D), "by its terms, applies only to chapter 9 and 11 bankruptcy cases"). These cases represent a settled judicial construction, with *Connolly* as an outlier. Since 1978, Congress amended the Code four times, most recently in 2005. Congress made over twenty changes to § 503.[5] However, Congress chose to leave subsection (b)(3)(D) intact. Thus, Congress endorsed the broad consensus of the courts; substantial contribution reimbursements are "limited to only Chapters 9 and 11." *In re Connolly N. Am., LLC,* 802 F.3d at 823 (O'Malley, J., dissenting); *Jama,* 543 U.S. at 349.

[5] Bankruptcy Code of 1978, Pub. L. No. 109—8; Bankruptcy Code of 1978, Pub. L. No. 103—394; Bankruptcy Code of 1978, Pub. L. No. 99—554; Bankruptcy Code of 1978, Pub. L. No. 98—353.

G. The Minority View of the Sixth and Thirteenth Circuits Relies on Cases That Preserved Established Common-Law Practices and, therefore, Support Petitioner's Position.

According to the Sixth and Thirteenth Circuits, through § 503(b), Congress suddenly, silently, and with no explanation in the legislative history, authorized awards for substantial contributions in liquidation cases under chapter 7. R. at 19; *In re Connolly N. Am., LLC*, 802 F.3d at 816–17. We are told that Congress chose to accomplish this change—not with instructions to reimburse "actual and necessary expenses . . . in making substantial contributions in [liquidation] cases under chapter 7"— but instead, by inserting the word "including" into the opening line of § 503(b). R. at 18-19; *In re Connolly*, 802 F.3d at 816. Indeed, the minority view concludes, it is this word "including" in § 503(b) that created priority status for substantial contribution claims in Chapter 7 cases. If this Court adopted this flawed reasoning, it would upset years of common law practice, flip established presumptions on their head, and disrupt the balance that Congress stuck with the more specific language in § 503(b)(3)(D). *Cohen*, 523 U.S. at 221; *Howard*, 547 U.S. at 667. On the other hand, Petitioner's correct, natural reading of § 503(b)(3)(D)—endorsed by the majority of lower courts—does not require the Court to read any implicit authorization into Congress' deliberate silence.

The Sixth and Thirteenth Circuit relied on three cases to argue that it is permissible for a bankruptcy court to allow substantial contribution expenses in chapter 7 cases. *See In re Connolly N. Am., LLC*, 802 F.3d at 816 (citing *Matter of Al Copeland Enters.*, Inc., 991 F.2d 233, 238 (5th Cir. 1993) and *In re Mark Anthony*, 886 F.2d at 1104 ("preserv[ing] the rule of common law" classifying post-petition tax interest as an administrative expense where there was "no indication that Congress meant to overrule that law" in § 503(b))); R. at 19 (citing *Ala.*

Surface Mining Comm'n v. N.P. Mining Co., Inc., 963 F.2d 1449, 1452 (11th Cir. 1992)). However, these decisions merely preserve classes of administrative expenses that were well-established in pre-Bankruptcy Act common law. *See In re Mark Anthony,* 886 F.2d at 1108 (holding that affording first priority status to sale tax was a pre-Bankruptcy Act common-law practice that was not disallowed by the Bankruptcy Code); *Matter of Al Copeland*, 991 F.2d at 238 *Ala. Surface Mining Comm'n v. N.P. Mining Co., Inc.*, 963 F.2d at1452 (preserving this Court's pre-Bankruptcy Act rule that post-petition penalties incurred after the filing of bankruptcy petition were administrative expenses). In fact, in *In re Mark Anthony* the Ninth Circuit declined to seize on the word "including" to adopt a "case-by-case approach to determin[e]" what costs to classify as administrative expenses. *In re Mark Anthony Const., Inc.*, 886 F.2d at 1106. The court "h[e]ld instead that the specific common law rule laid down by the Supreme Court in *Nicholas*[*v. United States,* 384 U.S. 678 (1966)] survive[d] the enactment of the [1978] Code." *Id.* This is a straightforward application of the established rule that "common law rules survive unless evidence exists that subsequently enacted statute intended to be in derogation of prior case law." *Id.* at 1107; *see also Pasquantino v. United States*, 544 U.S. 349, 359 (2005) ("Statutes which invade the common law . . . are to be read with a presumption favoring the retention of long-established and familiar principles, except when a statutory purpose to the contrary is evident") (quoting *United States v. Texas*, 507 U.S. 529, 534 (1993)).

However, there is no "long-established" practice of granting administrative expense status to creditor contributions in chapter 7 proceedings." *In re Connolly N. Am.*, 802 F.3d at 824 (O'Malley, J., dissenting). And even if there were such a practice, §503(b)(3)(D) "'speaks directly to the question,'" *Pasquantino,* 544 U.S. at 359, of substantial contribution expenses and limits them to cases under chapter 9 and 11.

H. "Equity" Does Not Overcome the Statute's Language and History

The Thirteenth Circuit argued that its conclusion was "rooted in the overriding consideration that equitable principles govern the exercise of bankruptcy jurisdiction." R. at 20 (citing *Bank of Marin v. England*, 385 U.S. 99, 103 (1966)). To support its reasoning, the court cited a number of opinions written by this Court: *Local Loan Co. v. Hunt*, 292 U.S. 234 (1934); *Pepper v. Litton*, 308 U.S. 295 (1939); *Bank of Marin v. England*, 385 U.S. 99 (1966). But those opinions were decided well before Congress stripped the bankruptcy courts of their broad equitable powers under 28 U.S.C. § 1481. *Northern Pipeline Construction. Co. v. Marathon Pipe Line Co.*, 458 U.S. 50, 87 (1982) (holding that 28 U.S.C. § 1481 was unconstitutional); *cf. Celotex Corp. v. Edwards*, 514 U.S. 300 (1995) (Stevens, J. dissenting) (noting that § 1481, not § 105(a), was the source of the bankruptcy court's equitable powers).

Since *Northern Pipeline*, any equitable powers bankruptcy courts possess must come from § 105(a). 458 U.S. 50 (1982). In *Law v. Siegel*, the Court held that a bankruptcy court's equitable powers under section 105(a) did not allow bankruptcy courts to "contravene a specific provision of the Code." 571 U.S. 415, 421–422 (2014) ("[W]hatever equitable powers remain in the bankruptcy courts must and can only be exercised within the confines of" the Bankruptcy Code.). The Court held that bankruptcy courts could not tax exempted assets to pay trustee's administrative expenses, even when the trustee incurred those expenses in addressing debtors' misconduct. *Id.* at 422. The Court acknowledged that its decision would force the trustee "to shoulder a heavy financial burden resulting from [the debtor's] egregious misconduct, and that it may produce inequitable results for trustees and creditors in other cases." *Id.* at 426. However, it observed that by enumerating detailed exemptions for debtors' assets, and limits on those exemptions, "Congress balanced the difficult choices that exemption limits impose on debtors

with the economic harm that exemptions visit on creditors." *Id.* at 427. The same can be said of the limits imposed on recovery of administrative expenses by trustees." *Id.* Simiarly, the courts cannot upset the balance struck by § 503(b)(3)(D)'s specific language, prohibiting substantial contributions expenses in Chapter 7 cases, by invoking "equity." *Lebron*, 27 F.3d at 944; *Law*, 572 U.S. at 427.

The statutory scheme confirms that courts have no "equitable" power to decide what may constitute an "administrative expense" under § 503(b) in a particular case. After a careful revision of the Bankruptcy Code, Professor Levitin concluded that "the Code refers twenty-four times to decisions that are to be made according to the equities of the case or in the interests of justice." Adam J. Levitin, *Toward a Federal Common Law of Bankruptcy: Judicial Lawmaking in a Statutory Regime*, 80 Am. Bankr. L.J. p. 1-87 (2006). Unfortunately for Respondent, § 503(b)(3)(D) is not one of those sections. Adam J. Levitin, *Toward a Federal Common Law of Bankruptcy: Judicial Lawmaking in a Statutory Regime*, 80 Am. Bankr. L.J. p. 1-87 (2006). In fact, "so far as the equity power of the court is concerned, it is still doctrine that expenses and allowances by the Bankruptcy Court shall be limited to statutory allowances." *In re FAS Int'l, Inc.*, 382 F. Supp. 77, 81 (S.D.N.Y. 1974), *aff'd sub nom. In re Fas Int'l, Inc.,* 511 F.2d 1164 (2d Cir. 1975). The decision to grant a substantial contribution expense in a chapter 7 case cannot be justified in equitable principles because it is unauthorized by the Code and contravenes § 503(b)(3)(D) and the limitations of equitable powers. *Law*, 571 U.S. at 421 ("It is hornbook law that § 105(a) does not allow the bankruptcy court to override explicit mandates of other sections of the Bankruptcy Code") (citing 2 Collier on Bankruptcy ¶ 105.01[2], p. 105–6 (16th ed. 2013)) (internal quotes omitted).

In sum, the lower court authorized reimbursement of substantial contribution expenses in Chapter 7 cases based on its belief (legitimized as an application of "equity powers") that the natural reading of § 503(b) would produce unfair results in certain cases. In doing so, the Court of Appeals overreached its power.s "Achieving a better policy outcome…is a task for Congress, not the courts." *Hartford Underwriters*, 530 U.S. at 13–14. Congress has the authority to address any inequities in § 503(b)(3)(D), but the courts do not. *In re FAS Int'l, Inc.*, 382 F. Supp. 77, 81 (S.D.N.Y. 1974) ("Congress has decided who may be reimbursed and compensated, an equity court may not enlarge upon legislation which is both an expression of policy and unambiguous."), *aff'd sub nom. In re Fas Int'l, Inc.*, 511 F.2d 1164 (2d Cir. 1975). Section 503(b)(3)(D) limits substantial contribution claims to chapters 9 or 11. Expanding them to Chapter 7 cases constitutes "judicial activism" and violates the separation of powers. *See Sosa v. Alvarez-Machain*, 542 U.S. 692, 750 (2004) (Scalia, J., concurring) ("We Americans have a method for making the laws that are over us. We elect representatives to two Houses of Congress, each of which must enact the new law and present it for the approval of a President, whom we also elect," and "unelected federal judges" should not "usurp[] this lawmaking power."). As Professor Levitin has explained, "the purpose of a code is to provide clear ex-ante rules that will result in uniform decision." Adam J. Levitin, *Toward a Federal Common Law of Bankruptcy: Judicial Lawmaking in a Statutory Regime*, 80 Am. Bankr. L.J. p. 1-87 (2006). In "[a]llowing courts that implement a code-based regime to go farther afield than the statutory language," the Thirteenth Circuit "undercut[] the point of codification." *Id.* This Court should not make the same mistake.

CONCLUSION

Accordingly, the Court of Appeals should be reversed.

APPENDIX A

11 U.S.C. § 102

(1)-(2) [omitted]

(3) "Includes" and "including" are not limiting;

(4)-(9) [omitted]

APPENDIX B

11 U.S.C. § 105(a)

(a) The court may issue any order, process, or judgment that is necessary or appropriate to carry out the provisions of this title. No provision of this title providing for the raising of an issue by a party in interest shall be construed to preclude the court from, sua sponte, taking any action or making any determination necessary or appropriate to enforce or implement court orders or rules, or to prevent an abuse of process.

APPENDIX C

11 U.S.C. § 362

(a) Except as provided in subsection (b) of this section, a petition filed under section 301, 302, or 303 of this title, or an application filed under section 5(a)(3) of the Securities Investor Protection Act of 1970, operates as a stay, applicable to all entities, of--
§ 362. Automatic stay, 11 USCA § 362

...

(3) any act to obtain possession of property of the estate or of property from the estate or to exercise control over property of the estate;

APPENDIX D

11 U.S.C. § 363

(e) Notwithstanding any other provision of this section, at any time, on request of an entity that has an interest in property used, sold, or leased, or proposed to be used, sold, or leased, by the trustee, the court, with or without a hearing, shall prohibit or condition such use, sale, or lease as is necessary to provide adequate protection of such interest. This subsection also applies to property that is subject to any unexpired lease of personal property (to the exclusion of such property being subject to an order to grant relief from the stay under section 362).

APPENDIX E

11 U.S.C. § 503

(a)[omitted]

(b) After notice and a hearing, there shall be allowed administrative expenses, other than claims allowed under section 502(f) of this title, including—

(1)(A) the actual, necessary costs and expenses of preserving the estate including--

(i) wages, salaries, and commissions for services rendered after the commencement of the case; and

(ii) [omitted]

(B) any tax--

(i) incurred by the estate, whether secured or unsecured, including property taxes for which liability is in rem, in personam, or both, except a tax of a kind specified in section 507(a)(8) of this title; or

(2) [omitted]

(3) the actual, necessary expenses, other than compensation and reimbursement specified in paragraph (4) of this subsection, incurred by—

(A)-(C) [omitted]

(D) a creditor, an indenture trustee, an equity security holder, or a committee representing creditors or equity security holders other than a committee appointed under section 1102 of this title, in making a substantial contribution in a case under chapter 9 or 11 of this title;

(E) [omitted]

(F) a member of a committee appointed under section 1102 of this title, if such expenses are incurred in the performance of the duties of such committee;

(4)-(9) [omitted]

(c) [omitted]

APPENDIX F

11 U.S.C. § 507

(a) The following expenses and claims have priority in the following order:

(1) [omitted]

(2) Second, administrative expenses allowed under section 503(b) of this title, unsecured claims of any Federal reserve bank related to loans made through programs or facilities authorized under section 13(3) of the Federal Reserve Act (12 U.S.C. 343), and any fees and charges assessed against the estate under chapter 123 of title 28.

(3)-(8) [omitted]

(b)-(c) [omitted]

APPENDIX G

11 U.S.C. § 541

(a) The commencement of a case under section 301, 302, or 303 of this title creates an estate. Such estate is comprised of all the following property, wherever located and by whomever held:

(1) Except as provided in subsections (b) and (c)(2) of this section, all legal or equitable interests of the debtor in property as of the commencement of the case.

(2) All interests of the debtor and the debtor's spouse in community property as of the commencement of the case that is--

(A) under the sole, equal, or joint management and control of the debtor; or

(B) liable for an allowable claim against the debtor, or for both an allowable claim against the debtor and an allowable claim against the debtor's spouse, to the extent that such interest is so liable.

(3) Any interest in property that the trustee recovers under section 329(b), 363(n), 543, 550, 553, or 723 of this title.

(4) Any interest in property preserved for the benefit of or ordered transferred to the estate under section 510(c) or 551 of this title.

(5) Any interest in property that would have been property of the estate if such interest had been an interest of the debtor on the date of the filing of the petition, and that the debtor acquires or becomes entitled to acquire within 180 days after such date--

(A) by bequest, devise, or inheritance;

(B) as a result of a property settlement agreement with the debtor's spouse, or of an interlocutory or final divorce decree; or

(C) as a beneficiary of a life insurance policy or of a death benefit plan.

(6) Proceeds, product, offspring, rents, or profits of or from property of the estate, except such as are earnings from services performed by an individual debtor after the commencement of the case.

(7) Any interest in property that the estate acquires after the commencement of the case.

APPENDIX H

11 U.S.C. § 542

(a) Except as provided in subsection (c) or (d) of this section, an entity, other than a custodian, in possession, custody, or control, during the case, of property that the trustee may use, sell, or lease under section 363 of this title, or that the debtor may exempt under section 522 of this title, shall deliver to the trustee, and account for, such property or the value of such property, unless such property is of inconsequential value or benefit to the estate.

(b) Except as provided in subsection (c) or (d) of this section, an entity that owes a debt that is property of the estate and that is matured, payable on demand, or payable on order, shall pay

such debt to, or on the order of, the trustee, except to the extent that such debt may be offset under section 553 of this title against a claim against the debtor.

APPENDIX I

11 U.S.C. § 726

a) Except as provided in section 510 of this title, property of the estate shall be distributed--

(1) first, in payment of claims of the kind specified in, and in the order specified in, section 507 of this title, proof of which is timely filed under section 501 of this title or tardily filed on or before the earlier of--

(A) the date that is 10 days after the mailing to creditors of the summary of the trustee's final report; or

(B) the date on which the trustee commences final distribution under this section;

APPENDIX J

11 U.S.C. § 242 (Repealed)

The judge may allow reasonable compensation for services rendered and reimbursement for proper costs and expenses incurred in connection with the administration of an estate in a proceeding under this chapter or in connection with a plan approved by the judge whether or not accepted by creditors and stockholders or finally confirmed by the judge—

(1) by indenture trustees, depositaries, reorganization managers and committees or representatives of creditors or stockholders;

(2) by any other parties in interest except the Securities and Exchange Commission; and

(3) by the attorneys or agents for any of the foregoing except the Securities and Exchange Commission.

APPENDIX K

11 U.S.C. § 243 (Repealed)

The judge may allow reasonable compensation for services rendered and reimbursement for proper costs and expenses incurred by creditors and stockholders, and the attorneys for any of them, in connection with the submission by them of suggestions for a plan or of proposals in the form of plans, or in connection with objections by them to the confirmation of a plan, or in connection with the administration of the estate. In fixing any such allowances, the judge shall give consideration only to the services which contributed to the plan confirmed or to the refusal of confirmation of a plan, or which were beneficial in the administration of the estate, and to the proper costs and expenses incidental thereto.

APPENDIX L

Federal Rule of Bankruptcy 7001

An adversary proceeding is governed by the rules of this Part VII. The following are adversary proceedings:

(1) a proceeding to recover money or property, other than a proceeding to compel the debtor to deliver property to the trustee, or a proceeding under § 554(b) or § 725 of the Code, Rule 2017, or Rule 6002